# May/June 2015 Paper 02

## Section I (Compulsory)

## Question 1

### 1(a) Definitions of business concepts

*(a)(i) Profit*

*Define the business concept Profit. (2 marks)*

Profit is the amount of money left over after a business has paid all the costs of running it for a given period. It is calculated by taking the total sales revenue and subtracting from it all the expenses, such as the cost of goods sold, wages, rent and electricity. A profit shows that the business has earned more than it has spent.

*(a)(ii) Enterprise*

*Define the business concept Enterprise. (2 marks)*

Enterprise is the willingness of a person to take the risk of organising land, labour and capital to produce goods or services in the hope of making a profit. It is one of the four factors of production and the person who provides it is called the entrepreneur.

*(a)(iii) Specialization*

*Define the business concept Specialization. (2 marks)*

Specialization is the situation in which a worker, business or country concentrates on producing one good, service or part of a good rather than trying to produce everything. Because the work is repeated, the producer becomes very skilled and efficient, and output and quality both rise.

### 1(b) Franchises in the Caribbean

*Identify the names of TWO franchises in the Caribbean. (2 marks)*

- Kentucky Fried Chicken (KFC).
- Burger King.

### 1(c) Characteristics of forms of business organizations

*(c)(i) Partnership*

*State TWO characteristics of a Partnership. (2 marks)*

- A partnership is owned by between two and twenty persons (or up to ten in the case of banking) who join together to carry on a business with a view to profit, sharing the profits, losses and management according to a partnership agreement.
- In an ordinary partnership, the partners have unlimited liability, which means that if the business cannot pay its debts, the personal property of the partners can be used to settle them.

*(c)(ii) Co-operatives*

*State TWO characteristics of Co-operatives. (2 marks)*

- A co-operative is owned and controlled by its members, who buy shares of equal value and run it for their mutual benefit, with each member having one vote regardless of the number of shares held.
- Profits, called surplus, are shared among the members in proportion to the business each member did with the society, rather than according to the size of their shareholding.

*(c)(iii) Sole Proprietorship*

*State TWO characteristics of a Sole Proprietorship. (2 marks)*

- A sole proprietorship is owned and controlled by one person, who provides all the capital, makes all the decisions and keeps all the profits.
- The owner has unlimited liability, which means that the owner is personally responsible for all the debts of the business and may have to use his or her own property to pay them.

## 1(d) Roles of stakeholders

*(d)(i) Employers*

*Describe ONE role of Employers in business. (3 marks)*

Employers provide the capital, equipment and direction needed to run the business. They hire workers, pay them fair wages, train them and give them safe working conditions. Employers also plan the work, organise the different departments and make the major decisions so that the business can produce goods and services efficiently and earn a profit.

*(d)(ii) Employees*

*Describe ONE role of Employees in business. (3 marks)*

Employees provide the labour and skills needed by the business. They carry out the duties given to them by the employer, follow the rules of the workplace and use the equipment and time of the business properly. By being honest, punctual and productive, employees help the business to produce its goods and services well, which keeps customers satisfied and the business profitable.

# Question 2

## 2(a) Functions and relations of management

*(a)(i) Functions of a manager*

*List FOUR functions of a manager. (4 marks)*

- Planning, which involves setting goals for the business and deciding in advance what to do, how to do it and when to do it.
- Organising, which involves arranging the resources of the business, including people, money and equipment, so that the plans can be carried out.

- Directing or leading, which involves guiding, motivating and supervising the workers so that they perform their duties well.
- Controlling, which involves checking the actual performance of the business against the plans and taking corrective action where things are not going as expected.

### *(a)(ii) Guidelines for good management-employee relations*

*State THREE guidelines for establishing good relations between management and employees. (3 marks)*

- Maintain open and honest two-way communication, where management keeps employees informed about plans and changes and listens to their views and concerns.
- Pay fair wages, provide safe working conditions and recognise good work through bonuses, promotions or simple words of praise.
- Treat all employees with respect and fairness, apply the rules of the workplace consistently and resolve any complaints quickly through proper grievance procedures.

## 2(b) Leadership

### *(b)(i) Characteristics of a good leader*

*Identify THREE characteristics of a good leader. (3 marks)*

- Honesty and integrity, so that workers can trust the leader's words and actions.
- Good communication skills, so that the leader can explain ideas clearly and listen to the views of others.
- The ability to motivate and inspire others to work willingly toward the goals of the organisation.

### *(b)(ii) Participatory vs autocratic leadership*

*Differentiate between 'participatory leadership style' and 'autocratic leadership style'. (4 marks)*

**Participatory leadership style**

In a participatory (or democratic) leadership style, the leader consults the workers before making decisions. The workers are encouraged to share their ideas and to take part in solving problems, and the final decision is often made by agreement of the group. This style usually leads to high morale and better team spirit, because workers feel that their views matter.

**Autocratic leadership style**

In an autocratic leadership style, the leader makes all the decisions alone and simply tells the workers what to do, without asking for their views. The leader keeps tight control over the work and uses rewards and punishments to make sure that the orders are followed. This style allows quick decisions but can lower morale because workers feel that their opinions do not count.

## 2(c) Benefits of teamwork to an organization

*Explain TWO ways in which an organization can benefit from teamwork. (6 marks)*

**Better ideas and quicker problem solving**

When workers work as a team, each member brings different knowledge, skills and experience to the

group. By sharing ideas and discussing problems together, the team can come up with better solutions than any one person could on his or her own. This means that problems are solved more quickly and the organisation can react faster to changes in the market.

**Higher motivation and productivity**
Working in a team makes workers feel that they belong to a group and that their work matters. Members support and encourage each other, cover for those who are absent and take pride in what the team achieves. This raises morale, lowers absenteeism and pushes everyone to work harder, so that the organisation gets more and better work done in the same amount of time.

# Question 3

## 3(a) Migration

### *(a)(i) Definition of migration*

*Define the term 'migration'. (2 marks)*

Migration is the movement of people from one country, region or area to another, in order to settle there for a period of time. When people leave a country it is called emigration, and when they enter another country to live it is called immigration.

### *(a)(ii) Positive and negative effects of migration*

*State ONE positive effect and ONE negative effect of migration. (2 marks)*

**Positive**
Migrants who leave the country often send money (remittances) back to their families at home, which provides foreign exchange and raises the standard of living of those families.

**Negative**
The country loses many of its best-trained workers, such as doctors, teachers and engineers, in what is called the 'brain drain', and this slows down development.

### *(a)(iii) Reasons for migration*

*Outline TWO reasons for migration. (4 marks)*

**Search for better jobs and higher incomes**
Many people leave their country because there are not enough jobs at home or because the wages they can earn are very low. They move to countries where there is more work available and where the pay and conditions are better, so that they can support themselves and their families.

**Better access to education, health care and social services**
People also migrate to countries that have better schools, universities, hospitals and welfare systems. They go in order to give their children a better education and to have access to medical care and other services that may not be available or may be too expensive at home.

## 3(b) Production methods

### *(b)(i) Characteristics of subsistence production*

*List TWO characteristics of subsistence production. (2 marks)*

- The output is produced mainly to feed the producer and his or her family, with little or nothing left over for sale.
- Simple tools and traditional methods are used, output is low and the activity employs only members of the household.

### *(b)(ii) Capital-intensive vs labour-intensive production*

*Explain how 'capital-intensive production' differs from 'labour-intensive production'. (4 marks)*

**Capital-intensive production**

Capital-intensive production uses a large amount of machinery, equipment and technology compared with the number of workers. The cost of buying and running the machines makes up most of the production cost, output per worker is high and only a small number of skilled operators are needed. An example is an oil refinery.

**Labour-intensive production**

Labour-intensive production uses a large amount of human labour compared with the amount of machinery and equipment. Wages make up the largest share of the production cost, output per worker is lower and many workers are needed to produce a given amount of output. An example is a small banana farm where most tasks are done by hand.

## 3(c) Computer-aided design (CAD)

*Explain ONE advantage and ONE disadvantage of computer-aided design (CAD) in the production process. (6 marks)*

**Advantage: Faster and more accurate design**

With computer-aided design, designers can draw, change and test new products on a computer screen instead of on paper. The computer makes accurate measurements, allows the designer to view the product from many angles and to make changes very quickly. This means that new designs reach the production line in a much shorter time and there are fewer errors, so the business saves time and money and can compete better in the market.

**Disadvantage: High cost and need for skilled operators**

The computers, software and printers used for CAD are very expensive to buy, and they have to be upgraded and maintained regularly. The business also has to spend money to train designers in how to use the system, and skilled CAD operators usually demand higher wages. For a small business, these costs can be very heavy and may make CAD difficult to afford.

# Section II - Answer EITHER Question 4 OR Question 5

# Question 4

## 4(a) Definition of consumer protection

*Define the term 'consumer protection'. (2 marks)*

Consumer protection refers to the laws, agencies and actions that are put in place to safeguard buyers of goods and services from unfair business practices, unsafe products and being cheated. It is meant to make sure that consumers get correct information, fair prices and goods of acceptable quality.

## 4(b) Consumer rights and Bureau of Standards

### *(b)(i) Rights of the consumer*

*List TWO rights of the consumer. (2 marks)*

- The right to safety, which means the right to be protected from goods and services that are dangerous to health or life.
- The right to be informed, which means the right to be given correct facts about a product, including its price, contents, weight and any side effects, so that the consumer can make a sensible choice.

### *(b)(ii) Roles of the Bureau of Standards*

*Outline TWO roles of the Bureau of Standards. (4 marks)*

**Setting and enforcing standards for goods and services**

The Bureau of Standards lays down the minimum quality, safety and labelling standards that goods and services produced or sold in the country must meet. Inspectors test samples and visit factories and shops to make sure that these standards are being kept, and goods that fail the tests can be removed from sale.

**Checking weights, measures and labels**

The Bureau also checks the accuracy of scales, pumps and measuring devices used in shops, supermarkets and gas stations, and makes sure that labels show the true weight, contents and country of origin. This protects consumers from being given short measure or being misled about what they are buying.

## 4(c) Wholesaler and e-commerce

### *(c)(i) Characteristics of the wholesaler*

*State TWO characteristics of the wholesaler as a distributor. (2 marks)*

- The wholesaler buys goods in very large quantities directly from producers and sells them in smaller quantities to retailers.
- The wholesaler stores large stocks of goods in a warehouse so that retailers can be supplied at short notice and the producer is freed from the trouble of dealing with many small buyers.

### *(c)(ii) Advantage and disadvantage of e-commerce*

*Outline ONE advantage and ONE disadvantage of e-commerce as a method of retailing. (4 marks)*

**Advantage**

E-commerce allows the business to sell to customers anywhere in the world, twenty-four hours a day, without the cost of running a physical shop. Customers can browse the website, compare prices and order goods from the comfort of their homes, which increases sales and lowers costs for the business.

**Disadvantage**

Customers cannot see, touch or try the goods before they buy them, and so they may receive items that do not match their expectations. There is also the risk of fraud and theft of credit-card information online, which can discourage some customers from shopping on the website.

## 4(d) Distribution problems and solutions

### *(d)(i) Problems related to distribution of goods*

*Identify TWO problems related to the distribution of goods. (2 marks)*

- Damage to or spoilage of goods while they are being transported or stored, especially perishable items.
- Delays in delivery caused by poor roads, breakdowns of vehicles or bad weather, which mean that goods reach the customer late.

### *(d)(ii) Measures to avoid each problem*

*Outline ONE measure that producers could take to avoid each problems identified. (4 marks)*

**Measure for damage and spoilage**

Producers can use strong, well-designed packaging and refrigerated or insulated containers, and can train workers in proper handling and loading. For perishable goods, fast transport such as air freight or refrigerated trucks can be used so that the goods arrive in good condition.

**Measure for delays in delivery**

Producers can plan deliveries carefully, keep their vehicles well maintained and use modern tracking systems to follow each shipment. They can also keep buffer stocks at strategic warehouses around the country, so that customers can still be served on time even when one shipment is delayed.

# Question 5

## 5(a) Definition of overdraft

*Define the term 'overdraft'. (2 marks)*

An overdraft is an arrangement between a customer and a commercial bank that allows the customer to draw out from his or her current account more money than is actually in the account, up to an agreed limit. The customer pays interest only on the amount actually overdrawn and only for the time that the account remains in the red.

## 5(b) Investment and insurance

### *(b)(i) Forms of investment*

*List TWO forms of investment. (2 marks)*

- Buying shares in a company on the stock exchange.
- Buying government securities such as Treasury bills and bonds, or fixed deposits at a commercial bank.

### *(b)(ii) Principles of insurance*

*Outline TWO principles of insurance. (4 marks)*

**Utmost good faith**

Both the insured and the insurance company must be completely honest with each other and disclose all material facts about the risk being insured. If the insured hides important information, such as a serious illness when taking out a life policy, the insurance company can refuse to pay any claim and cancel the policy.

**Insurable interest**

The person taking out the policy must stand to suffer a financial loss if the insured event happens. For example, a person can insure his or her own house or life, or the life of a husband, wife or business partner, but cannot insure the property or life of a stranger from whom no loss would be suffered.

## 5(c) Ordinary shares and sou sou

### *(c)(i) Characteristics of ordinary shares*

*State TWO characteristics of ordinary shares. (2 marks)*

- Ordinary shareholders are part-owners of the company and have the right to vote at the annual general meeting and to elect the board of directors.
- Ordinary shareholders receive a dividend only after the company has paid all its expenses and the dividends due to preference shareholders, so the dividend can be high in good years and zero in bad years.

### *(c)(ii) Sou sou advantage and disadvantage*

*Outline ONE advantage and ONE disadvantage of the sou sou (meeting turn) as a form of saving. (4 marks)*

**Advantage**

A sou sou is a simple way for ordinary people to save regularly without going to a bank, and each member receives a large lump sum of money in turn. This lump sum can be used to pay school fees, buy household items or start a small business, which would be difficult to save for through small individual amounts.

**Disadvantage**

Because the sou sou is informal and has no legal backing, members can lose all their savings if the 'banker' or another member runs off with the money or fails to pay in his or her share. The savings also do not earn any interest and are not protected by deposit insurance.

## 5(d) Central bank measures to influence commercial banks

*Describe TWO measures which a central bank may use to influence the behaviour of commercial banks. (6 marks)*

**Changing the cash reserve requirement**

The central bank can order commercial banks to keep a certain percentage of their deposits as a reserve at the central bank or in their own vaults. By raising this percentage, the central bank reduces the amount of money the commercial banks have left to lend out, which slows down spending in the economy. By lowering it, the central bank gives commercial banks more money to lend, which encourages borrowing and spending.

**Changing the bank rate**

The bank rate is the rate of interest that the central bank charges commercial banks when it lends them money. When the central bank raises the bank rate, commercial banks have to pay more for funds and so they raise their own lending rates, which discourages borrowing. When the central bank lowers the bank rate, commercial banks lower their lending rates, which encourages businesses and individuals to borrow and spend more.

# Section III - Answer EITHER Question 6 OR Question 7

# Question 6

## 6(a) Economic problems and solutions

*(a)(i) Economic problems facing Caribbean countries*

*Identify TWO economic problems facing Caribbean countries. (2 marks)*

- High levels of unemployment, especially among young people.
- A heavy dependence on imported goods, which leads to an unfavourable balance of payments.

*(a)(ii) One way each problem may be solved*

*Outline ONE way in which EACH problem identified may be solved. (4 marks)*

**Solution to high unemployment**

The government can encourage local and foreign investment, give support to small businesses and run training programmes that match workers' skills to the needs of employers. As new factories, hotels and service businesses open, more jobs are created and unemployment falls.

**Solution to dependence on imports**

The government can promote import substitution by giving incentives such as tax breaks and grants to local farmers and manufacturers who can produce goods that are now being imported. As more food, furniture and other items are made locally, less foreign currency is spent on imports and the balance of payments improves.

## 6(b) Foreign direct investment

### *(b)(i) Definition of FDI*

*Define the term 'foreign direct investment' (FDI). (2 marks)*

Foreign direct investment is investment made by a company or individual from one country into a business or productive asset in another country, where the investor takes a controlling interest. It usually involves the building of new factories, hotels or branches, or the purchase of an existing business in the host country.

### *(b)(ii) Factors discouraging foreign investors*

*Outline THREE factors that are LIKELY to discourage foreign investors from investing in the Caribbean. (6 marks)*

**High levels of crime and political instability**

Foreign investors are reluctant to put their money into countries where crime is high and where governments and policies change suddenly. They fear for the safety of their workers and property, and worry that new governments might change tax rules or even take over their businesses.

**Small market size and weak infrastructure**

Many Caribbean countries have small populations and limited buying power, which means that the local market for the investor's products is small. When this is combined with poor roads, an unreliable electricity and water supply and slow internet, the cost of doing business rises and profits fall.

**High taxes, red tape and shortage of skilled labour**

If a country has high company taxes, complicated rules for setting up a business and a long wait to get licences and work permits, foreign investors will look elsewhere. A shortage of skilled workers, which forces investors to bring in expensive expatriate staff or to spend heavily on training, also discourages investment.

## 6(c) Benefits of FDI to Caribbean countries

*Explain TWO ways in which Caribbean countries benefit from foreign direct investment (FDI). (6 marks)*

**Creation of jobs and transfer of skills and technology**

When foreign companies set up factories, hotels and service businesses in the Caribbean, they hire local workers and train them in modern methods, technology and management. This reduces unemployment, raises incomes and gives local people new skills that they can later use in other jobs or in setting up their own businesses, which raises productivity in the whole economy.

**Inflow of foreign exchange and contribution to government revenue**

Foreign investors bring in large amounts of foreign currency to build and run their operations, and they also export some of their output, which earns even more foreign exchange. They pay company taxes, customs duties and other fees to the government, which provides money for spending on schools, hospitals and roads. The result is faster economic growth and an improved standard of living for citizens.

# Question 7

## 7(a) Government regulation and consumer protection

### *(a)(i) Ways governments regulate business activity*

*Outline TWO ways in which governments can regulate business activity. (4 marks)*

**Through laws, licences and registration**

Governments pass laws such as the Companies Act, the Consumer Protection Act and the Public Health Act, and they require businesses to be registered and to obtain licences before they can operate. Inspectors check that businesses follow these laws and the conditions of their licences, and any business that breaks the rules can be fined or have its licence taken away.

**Through taxes, price controls and subsidies**

Governments use taxes to discourage harmful activities (for example high taxes on tobacco) and subsidies to encourage useful ones (such as grants to local farmers). They can also put price controls on essential goods such as basic foods and bus fares to make sure that they remain affordable to the public.

### *(a)(ii) Measures to protect consumers*

*Describe TWO measures which governments can take to protect consumers. (4 marks)*

**Passing consumer protection laws**

The government passes laws such as the Sale of Goods Act and the Consumer Protection Act, which give consumers the right to safe goods, correct information and the right to a refund or replacement when goods are faulty. Businesses that break these laws can be taken to court and fined.

**Setting up agencies such as the Bureau of Standards and Consumer Affairs Commission**

These agencies set quality and safety standards for goods, check weights and measures, test samples of products and investigate complaints from consumers. They also educate the public about their rights and how to make a complaint, so that consumers can defend themselves against unfair business practices.

## 7(b) Benefits of improved roads and transportation

*Outline THREE ways in which your country can benefit from improved roads and transportation. (6 marks)*

**Faster and cheaper movement of goods**

When roads are smooth and well laid out, vehicles can move goods quickly from farms and factories to markets, ports and shops. Fuel and vehicle repair costs fall, fewer goods are damaged on the way and prices can be kept lower for consumers.

**Easier access to jobs, schools and health care**

Better roads and public transport make it easier for people to travel to work, school, hospitals and government offices, even from rural areas. This raises the standard of living, gives more people a chance to find jobs and improves the quality of education and health care.

**Encouragement of investment and tourism**

Good roads and reliable transport make a country more attractive to local and foreign investors, who need

to move workers, raw materials and finished goods. Tourists are also more willing to visit a country where they can travel safely and quickly between hotels, beaches and other attractions, which earns extra foreign exchange.

## 7(c) Improving the education sector

*Explain TWO ways in which government could improve the education sector. (6 marks)*

**Spending more on schools, equipment and teacher training**

The government can build more schools and classrooms, supply textbooks, computers and laboratory equipment, and pay for teachers to be trained to a higher standard. With better facilities and better-prepared teachers, students learn more, pass more examinations and leave school with the skills needed for work and further studies.

**Reforming the curriculum and providing financial assistance**

The government can update the curriculum so that it includes subjects such as information technology, technical and vocational skills and entrepreneurship, which match the needs of today's economy. It can also offer scholarships, grants and free school meals to students from poor families, so that no child is forced to drop out of school because of money. As a result, more young people complete school, the workforce becomes more skilled and the country grows.